

THE CHOKEPOINT

A large share of crude and gas imports passes via the Strait of Hormuz. So, Iran's decision to restrict traffic has delayed supplies and raised freight costs

2.6

Strait of Hormuz

INDIA-BOUND ENERGY TRAFFIC
(HY 2025)
(MILLION BARRELS PER DAY)

SOURCE ICRA

LAST-MILE SQUEEZE

With India dependent on imported gas, any supply disruption quickly hits city gas networks, affecting CNG and LPG availability



● DOMESTIC ● IMPORTS

FIGURES IN MMSCM; SOURCE PPAC

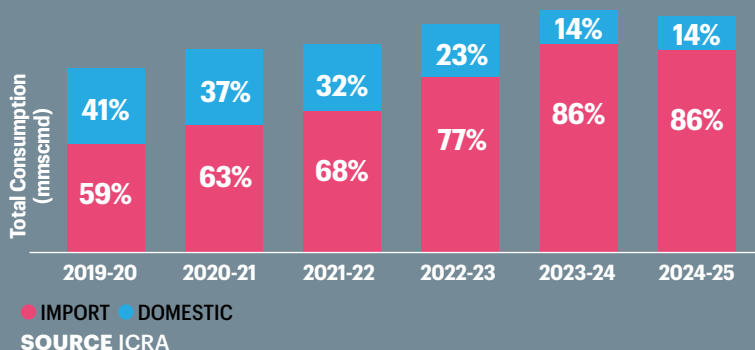
BOTTOMLINE

DOMESTIC GAS OUTPUT HASN'T KEPT PACE WITH RISING DEMAND, AND IMPORTS HAVE BRIDGED THE GAP. THAT WORKS IN STABLE CONDITIONS, BUT QUICKLY BECOMES A VULNERABILITY DURING DISRUPTIONS. HIGHER GAS COSTS FLOW INTO FERTILISER SUBSIDIES, INDUSTRIAL INPUTS AND CITY GAS PRICES, ADDING TO INFLATION. IF PROLONGED, IT COULD IMPACT GDP

DOMINO EFFECT

Natural gas is a critical input in production of urea, functioning as the primary raw material and fuel. About 85% of LNG needed for urea production is imported. Similarly, other major fertilisers rely heavily on raw materials sourced from West Asia, Morocco, and China, making domestic supply sensitive to global trade and energy shifts

FERTILIZERS- UREA



OTHER MAJOR FERTILISERS

